LW1109

Introduction to Business Law

SUMMER 2023 EXAMINATION · PAPER 1

Full Marking Scheme

Covers Questions 1–4 (Part A & Part B)

Prepared for Study-Uni. Model answers reflect the law of contract and tort as taught on LW1109 (UCC), covering consideration, exclusion clauses and bailment, negligent misstatement, and the set case-note topics. Case citations verified against primary/secondary legal sources at time of preparation.

Contents

> **EXAM STRUCTURE** *Candidates attempt ONE question from Part A and ONE from Part B; Part B, Question 4 requires comment on any TWO of the four items. Because different candidates may have attempted different combinations, this scheme provides a full model answer for every question and every Q4 option, each self-contained and independently weighted to 100% (or, for the four Q4 options, to 50% each, reflecting that two are answered to make up the full Question 4 mark).*

PART A · QUESTION 1

Gary & Henry — Variation, Practical Benefit & Past Consideration

QUESTION 1

Gary's business specialises in the renovation of sports grounds. Gary's business has recently agreed a contract for the extensive re-development of Cork United's facilities. The project is especially important to the club as there is a national tournament scheduled to be held at Cork United's grounds in December 2022.

As the project involves several phases, Gary sub-contracts the work on the seating and fencing at the main stadium to Henry. The contract price for this work is set at €50,000. Henry assures Gary that the seating and the fencing should be completed quite promptly. However, due to a series of difficulties relating to supply problems, disputes with employees, and poor weather conditions, the work is significantly delayed. By September 2022, Henry has completed approximately two-thirds of the seating and fencing, but at a cost of €45,000.

Gary promises to pay Henry an additional €15,000 to ensure that Henry can complete the work in time for the beginning of the tournament. After working lengthy hours and hiring further staff, Henry eventually finishes the seating and fencing on the stadium by late November 2022. Although the tournament is successfully held at the newly renovated facilities, Henry has not heard from Gary regarding the payment of the extra €15,000. When Gary finally responds to Henry's calls, Gary claims that Henry has no legal entitlement to the additional money. Gary says that he will only pay the original contract price of €50,000.

Henry is particularly worried about Gary's refusal to pay the additional amount, because he may now be unable to make payments to his employees. After the work on the sports facilities was finished in November and after the tournament was held, Henry told his employees that he would pay each employee a bonus, which would be a reward for their efforts in getting the seating and fencing done in time for the tournament.

Advise Henry about his legal options in relation to the €15,000 promised by Gary and in relation to the payments which Henry has promised to his employees.

APPROACH NOTE *This question has two distinct limbs — the €15,000 from Gary, and the bonus Henry has promised his own employees — each raising a different consideration doctrine. The scheme treats them as roughly equal in weight.*

Issue (a) · The starting point — the pre-existing duty rule

FULL MODEL ANSWER

Henry was already under a contractual obligation to Gary to complete the seating and fencing for €50,000. The general rule is that a promise to pay more for the performance of an existing contractual duty is not supported by good consideration, since the promisee (Henry) gives nothing beyond what he was already bound to do. This is the rule from *Stilk v Myrick* (1809) 2 Camp 317, where a ship's captain's promise of extra wages to sailors who merely continued performing their existing duties, after two crewmates deserted, was held unenforceable for want of fresh consideration. On this traditional rule alone, Gary's promise of an extra €15,000 would appear to be an unenforceable, gratuitous promise, since Henry did no more than what the original €50,000 contract already required of him — complete the seating and fencing.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Correctly states the pre-existing duty rule, cites and applies *Stilk v Myrick*, AND identifies that this alone would defeat Henry's claim to the €15,000.	10%
Good	Correct rule and case, without a clear statement of the provisional conclusion.	7%
Partial	Vague reference to "no consideration for doing what you were already going to do" without correct authority.	4%
Minimal	Issue not addressed.	0–2%
Weight of this issue within Question 1		**10%**

Issue (b) · The practical benefit exception — *Williams v Roffey Bros*

FULL MODEL ANSWER

The modern law significantly qualifies this rule. In *Williams v Roffey Bros & Nicholls (Contractors) Ltd* [1991] 1 QB 1, a main contractor facing a penalty clause for late completion of a block of flats promised a struggling subcontractor extra money per flat to finish on time, then refused to pay. The Court of Appeal held the promise enforceable: although the subcontractor was only performing his pre-existing duty, the main contractor obtained a genuine **practical benefit** — avoiding the penalty clause, and avoiding the cost, delay and disruption of engaging a replacement contractor to finish the work — and that practical benefit constituted good consideration, provided the promise was not procured by economic duress or fraud.

VERDICT

Henry has a strong claim to the €15,000 — the facts closely track *Williams v Roffey*.

The parallel to Gary and Henry is close. Gary's business depends on the Cork United redevelopment being completed for a specific, fixed national tournament date in December 2022; Henry was significantly behind schedule (two-thirds complete by September, at €45,000 of the €50,000 price, with real risk the remaining work would not be finished in time). Gary's promise of an extra €15,000 was made precisely to secure timely completion, and in return Gary avoided the serious commercial and reputational consequences of Cork United's flagship facilities not being ready for the tournament, as well as the delay and expense of finding and engaging a replacement subcontractor at a late stage. This is exactly the kind of "obviated disbenefit"/practical benefit that *Williams v Roffey* recognises as good consideration for a promise to pay more.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Accurately states the *Williams v Roffey* practical benefit doctrine AND applies it in detail to Gary and Henry's facts, identifying the specific practical benefits Gary obtained.	25%
Good	Doctrine correctly stated, applied to the facts only in general terms.	18%
Partial	Case cited by name without correctly stating the practical benefit test.	10%
Minimal	*Williams v Roffey* not engaged with, leaving the analysis stuck at Issue (a).	0–5%
Weight of this issue within Question 1		**25%**

Issue (c) · Absence of economic duress

FULL MODEL ANSWER

The *Williams v Roffey* exception is unavailable if the promise of extra payment was extracted by illegitimate pressure — for example, a subcontractor deliberately threatening to walk off the job unless paid more, with no genuine difficulty underlying the threat. On these facts, however, Henry's delay stems from a combination of supply problems, disputes with his own employees, and poor weather — ordinary, external commercial difficulties of the kind any contractor might encounter, not a manufactured threat designed to extract a better price from Gary. There is no suggestion Henry threatened to abandon the project or otherwise applied illegitimate pressure; rather, Gary appears to have *volunteered* the extra €15,000 to secure timely completion. This is materially different from a duress scenario, and supports treating Gary's promise as a genuine, voluntary variation rather than one procured by coercion.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Identifies that *Williams v Roffey* requires the absence of economic duress, AND correctly distinguishes Henry's genuine external difficulties from a coercive threat.	10%
Good	Notes duress as a limiting factor without applying it clearly to the facts.	7%
Partial	Vague mention of "fairness" without the specific duress qualification.	4%
Minimal	Issue not addressed.	0–2%
Weight of this issue within Question 1		**10%**

Issue (d) · Henry's promised bonus to his employees — past consideration

FULL MODEL ANSWER

The second limb of the question is different in kind. Henry's promise to pay his employees a bonus is made **after** the seating and fencing work was already finished and the tournament had already been held — explicitly described as "a reward for their efforts" already given. This is the paradigm case of **past consideration**: a promise made in return for an act already wholly completed before the promise was made. The general rule is that past consideration is no consideration at all — the promisor receives nothing new in exchange for the promise, since whatever prompted the promisor's gratitude has already happened and cannot be "bought" retrospectively. On this basis, Henry's promised bonus to his employees is not, on ordinary principles, a legally binding or enforceable promise; it is a gratuitous statement of intention to reward past loyalty and effort.

> **VERDICT — THE NARROW EXCEPTION**
>
> **Arguable, but weak on these facts — the timing described suggests the exception will not rescue the promise.**

There is a recognised, narrow exception to the past consideration rule, most authoritatively restated in *Pao On v Lau Yiu Long* [1980] AC 614 (Privy Council), itself building on *Lampleigh v Brathwait* (1615) Hob 105: an act performed before a promise is made can still count as good consideration for that promise if (i) the act was done at the promisor's request; (ii) the parties understood at the time that the act would be remunerated in some way; and (iii) the eventual payment or benefit would have been legally enforceable had it been promised in advance. If Henry's employees worked their "lengthy hours" specifically because Henry asked them to, on a shared understanding at the time that extra effort would be rewarded, the exception could in principle apply to convert their earlier efforts into good consideration for Henry's later bonus promise. However, the facts as given describe the bonus as being announced only after everything was finished, framed simply as a reward for effort already given, with no indication of any earlier request-and-understanding arrangement between Henry and his staff before or during the crunch period. On the facts as stated, the exception is therefore difficult to make out, and the promise remains, on balance, an unenforceable promise founded on past consideration.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly identifies the promise as raising past consideration, accurately states the general rule AND the *Pao On v Lau Yiu Long*/*Lampleigh v Brathwait* exception, AND reaches a reasoned (not asserted) conclusion on whether the exception applies to these specific facts.	35%
Good	Correctly identifies past consideration and states the exception, without a clearly reasoned application to the specific timing on these facts.	25%
Partial	Identifies "the employees did the work already" as relevant without correct doctrinal framing (past consideration) or authority.	14%
Minimal	Treats the bonus promise as straightforwardly enforceable, or omits the issue.	0–7%
Weight of this issue within Question 1		**35%**

Issue (e) · Advice to Henry — conclusion

FULL MODEL ANSWER

On the €15,000, Henry should be advised that, although Gary's promise appears at first glance to fail the traditional pre-existing duty rule in *Stilk v Myrick*, it very likely qualifies for the practical benefit exception recognised in *Williams v Roffey Bros*: Gary obtained a real, identifiable commercial benefit — timely completion ahead of a fixed tournament date, and avoidance of the cost and delay of finding a replacement contractor — and there is nothing on the facts to suggest the promise was procured by economic duress. Henry therefore has a good claim to recover the additional €15,000 from Gary.

On the employees' bonus, Henry should be advised that the promise, as described, is unlikely to be legally enforceable against him: it was made only after the work was finished, as a reward for effort already given, which is the classic case of past consideration providing no legal support for a promise. Unless Henry can point to some genuine prior request and shared understanding, made to his employees *during* the crunch period rather than after it, that extra effort would be compensated, his employees are unlikely to be able to compel payment of the bonus as a matter of contract law — though Henry may, of course, choose to pay it as a matter of goodwill, and doing so may be a wise business decision regardless of its strict legal enforceability.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Synthesises both limbs into clear, practical advice for Henry, correctly distinguishing his strong position against Gary from his weak position vis-à-vis enforceability against his own employees.	20%
Good	Correct overall conclusions but limited practical development.	14%
Partial	Restates earlier findings without a clear bottom-line conclusion for Henry.	8%
Minimal	No coherent concluding advice given.	0–4%
Weight of this issue within Question 1		**20%**

QUESTION 1 — TOTAL **10 + 25 + 10 + 35 + 20 = 100%**

PART A · QUESTION 2

Rebecca & Susan — Bailment and the Incorporation of Exclusion Clauses

QUESTION 2

Rebecca and Susan have just completed the last of their university exams. To celebrate the end of the exams, Rebecca and Susan decide to go to a live music venue in the city. Rebecca has been to the venue on several occasions during the year, but Susan has never previously been there. While Rebecca and Susan are queuing at the entrance, Rebecca tells Susan that, based on her experience, this business can be "very strict" with customers who lose personal belongings and items on the premises. Rebecca explains that customers are usually given ticket receipts which state that the business accepts no liability or responsibility for property which is lost, stolen or damaged.

When Rebecca and Susan are admitted to the venue, both leave their coats at the front desk. Rebecca and Susan are not given ticket receipts. When Rebecca mentions that this is unusual, the attendant at the desk says that the venue is extremely busy tonight due to end-of-exams celebrations. It is only when Rebecca and Susan are entering the bar at the venue that Susan notices a large sign stating that: "The business accepts no liability in respect of customers' property. Please see conditions on ticket receipts for details."

After the live show has finished, Rebecca and Susan proceed to the front desk to collect their coats. To their shock and anger, Rebecca's coat is returned with a cut along the front, while Susan's coat cannot be found by the attendant. The attendant informs Rebecca and Susan that the business has always maintained an exclusion of liability for any loss, theft, or damage of customers' personal property.

Advise Rebecca and Susan as to any grounds which they may have for legal action against the business.

Issue (a) · The nature of the relationship — bailment for reward

FULL MODEL ANSWER

When Rebecca and Susan hand their coats to the front desk and the attendant accepts them, a **bailment** arises: the business (bailee) takes possession of the coats (the bailors' property) for a specific purpose — safekeeping during the show — on the understanding they will be returned afterwards. Because this cloakroom service is provided as part of a paid entry to a commercial venue, it is a bailment for reward rather than a purely gratuitous one, attracting the higher standard of care ordinarily expected of a business holding property as part of its commercial operations. This bailment relationship exists independently of, and in addition to, whatever contract governs Rebecca and Susan's general entry to the venue and the show itself.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Correctly identifies a bailment for reward arising on delivery and acceptance of the coats, distinct from the general entry contract.	10%
Good	Identifies bailment without distinguishing it from the general entry contract.	7%
Partial	Vague reference to a "duty of care" over the coats without the bailment framework.	4%
Minimal	Issue not addressed.	0–2%
Weight of this issue within Question 2		**10%**

Issue (b) · Was the exclusion clause incorporated — the timing problem

FULL MODEL ANSWER

The business's usual practice is to give customers a ticket receipt bearing the exclusion terms at the point the coat is handed over. On this occasion, no such receipt was given to either Rebecca or Susan, despite Rebecca specifically noting this was "unusual." The only notice of the exclusion either of them actually encountered was the large sign, seen only "entering the bar" — that is, after they had already handed their coats to the desk and the bailment contract for safekeeping had already been formed.

VERDICT

The exclusion clause was not incorporated into the contract for either Rebecca or Susan — the notice came too late.

This is materially indistinguishable from *Olley v Marlborough Court Ltd* [1949] 1 KB 532, where a hotel guest's contract was held to be concluded at the reception desk, before she ever saw an exclusion notice displayed in her bedroom; because the notice was not communicated until after the contract was formed, it never became a term of the contract, and the hotel could not rely on it when the guest's fur coat was later stolen. The same reasoning, reinforced by the general incorporation principles in *Parker v South Eastern Railway Co* (1877) 2 CPD 416 and *Thornton v Shoe Lane Parking Ltd* [1971] 2 QB 163 — that a party relying on an exclusion clause must give reasonable notice of it before or at the time the contract is made, not afterwards — applies directly here. The bailment contract for each coat was concluded the moment the desk accepted it; a sign encountered only later, on the way into the bar, comes too late to be incorporated, however clearly worded it is.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Correctly identifies the timing problem, cites and applies *Olley v Marlborough Court Ltd* as the closely analogous authority, AND reinforces the point with the general reasonable-notice principle from *Parker v South Eastern Railway*/*Thornton v Shoe Lane Parking*.	30%
Good	Correctly identifies the timing problem with at least one correct supporting authority.	21%
Partial	Notes the sign was seen "too late" without correct supporting case authority.	12%
Minimal	Assumes the clause is automatically effective because it is the business's "usual" policy, or omits the issue.	0–6%
Weight of this issue within Question 2		**30%**

Issue (c) · Rebecca's account, and whether prior dealings help the business

FULL MODEL ANSWER

The business might argue two further points, both of which should be addressed and, on balance, rejected.

Rebecca's own account to Susan. Before entering, Rebecca tells Susan, based on her own past experience, that the venue "can be very strict" and usually issues exclusionary ticket receipts. This cannot substitute for notice given by the business itself. Incorporation requires that the party seeking to rely on a term — here, the business — take reasonable steps to bring it to the other contracting party's attention at or before the time of contracting. An informal, secondhand description from a fellow customer, however accurate, is not equivalent to notice given by the business, and in any event Susan's own contract for the safekeeping of her coat is with the business, not with Rebecca; Rebecca cannot bind Susan to terms on the business's behalf. This point therefore does not assist the business at all in relation to Susan, and is unlikely to assist it in relation to Rebecca either, since actual, informal awareness of the business's *usual* practice is not the same as the business having given reasonable notice of the term as part of *this specific* transaction, on this occasion, when (unusually) no ticket receipt was actually issued.

Course of dealing. A separate route to incorporation, recognised in cases such as *J Spurling Ltd v Bradshaw* [1956] 2 All ER 121, allows a term to be incorporated where there has been a consistent, regular course of prior dealings between the same parties on the same terms, even without fresh notice on the occasion in question. However, *Hollier v Rambler Motors (AMC) Ltd* [1972] 2 QB 71 held that occasional or inconsistent past dealings are insufficient; the course of dealing must be regular and consistent. Even taking Rebecca's own account at its highest — several prior visits during which she recalls receiving exclusionary ticket receipts — this is, at best, a marginal case for incorporation by course of dealing as against *Rebecca specifically*, and does not assist the business at all against Susan, who has never previously dealt with this business on any terms.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Correctly explains why Rebecca's informal account cannot substitute for notice from the business (and cannot bind Susan at all), AND correctly analyses the course-of-dealing argument using *Hollier v Rambler Motors*, distinguishing Rebecca's (marginal) position from Susan's (no prior dealings at all).	25%
Good	Addresses one of the two sub-points (Rebecca's account, or course of dealing) correctly, with the other underdeveloped.	18%
Partial	General assertion that "Rebecca knew, so maybe that counts" without correct doctrinal analysis.	10%
Minimal	Issue not addressed, or Rebecca's prior knowledge treated as automatically binding on Susan.	0–5%
Weight of this issue within Question 2		**25%**

Issue (d) · Consequences — the burden on the bailee

FULL MODEL ANSWER

Because the exclusion clause was not incorporated, the business cannot rely on it, and must answer for the condition of the coats on ordinary bailment principles. A significant procedural advantage assists Rebecca and Susan here: once a bailor shows that goods bailed have been lost or returned damaged, the burden shifts to the bailee to prove that the loss or damage did not result from its own negligence, not the other way around. This is established in *Houghland v R R Low (Luxury Coaches) Ltd* [1962] 1 QB 694, where the Court of Appeal held that, once a bailee's failure to redeliver goods in the condition in which they were received is shown, a prima facie case of liability arises, and it is for the bailee to establish, to the court's satisfaction, that it took reasonable care and was not at fault.

Applying this: Susan's coat cannot be found at all, and Rebecca's is returned damaged, with a visible cut. In both cases, Rebecca and Susan need only establish that the coats were handed over in good condition and not returned in that condition; it then falls to the business to explain, satisfactorily, how the loss and the damage occurred consistently with it having taken reasonable care. On the facts as given, no such explanation is offered — the attendant simply asserts the pre-existing exclusion policy, which (per Issue (b)) is not itself a defence, since it was never incorporated into the contract.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly identifies that the burden of proof shifts to the bailee under *Houghland v R R Low*, AND applies this to both Rebecca's damaged coat and Susan's lost coat.	25%
Good	Correctly states the burden-shifting principle without applying it to both coats individually.	18%
Partial	Asserts the business is liable "because it was negligent" without addressing the burden of proof.	10%
Minimal	Places the burden on Rebecca and Susan to prove negligence, or omits the issue.	0–5%
Weight of this issue within Question 2		**25%**

Issue (e) · Advice to Rebecca and Susan — conclusion

FULL MODEL ANSWER

Rebecca and Susan should be advised that the business's exclusion of liability was not validly incorporated into either of their contracts for the safekeeping of their coats: no ticket receipts were issued on this occasion, and the only notice either of them saw was displayed after they had already handed over their coats and the bailment had already been formed, which comes too late under *Olley v Marlborough Court Ltd*. Rebecca's own informal, prior knowledge of the venue's usual practice does not cure this defect, particularly as against Susan, who has no relevant prior dealings with the business at all.

As the exclusion clause cannot be relied upon, the burden falls on the business, as bailee, to prove it took reasonable care of both coats and was not negligent. Absent any such explanation, both Rebecca (for the damage to her coat) and Susan (for the complete loss of hers) have good grounds for a claim against the business in respect of the value of, or damage to, their property.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Synthesises the prior issues into clear, practical advice for both Rebecca and Susan, correctly identifying both have good claims.	10%
Good	Correct overall conclusion but limited practical development.	7%
Partial	Restates earlier findings without a clear bottom-line conclusion.	4%
Minimal	No coherent concluding advice given.	0–2%
Weight of this issue within Question 2		**10%**

QUESTION 2 — TOTAL **10 + 30 + 25 + 25 + 10 = 100%**

PART B · QUESTION 3

The Scope of Negligent Misstatement in Tort

QUESTION 3

Critically evaluate the scope of the law on negligent mis-statement in tort. Your answer should refer to suitable examples of legal authority.

APPROACH NOTE *This is an essay question worth 100% of Question 3. Note the specific framing: "critically evaluate the scope" asks for more than a description of the doctrine's origin — it calls for engagement with how far the duty of care extends, to whom, and where its boundaries lie. It is broken into the five issues below to structure a full answer; in the exam it should be written as one continuous, argument-led essay.*

Issue (a) · The foundation — *Hedley Byrne v Heller*

FULL MODEL ANSWER

Negligent misstatement liability originates in *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465, where the House of Lords held, for the first time, that a careless statement causing pure economic loss could give rise to a duty of care, even absent any contract between the parties, where a "special relationship" exists: broadly, where a party possessing special skill or knowledge gives information or advice, knowing or reasonably expecting the other to rely on it, and the other does reasonably rely on it — often described as an "assumption of responsibility" by the maker of the statement. On the facts, the claim itself failed because the bank's reference was headed "without responsibility," an effective disclaimer preventing any duty from arising; but the case is remembered for establishing the doctrine, not its outcome.

This starting point already frames the "scope" question the essay must address: the duty is not general (unlike ordinary physical-harm negligence, which asks simply whether harm was reasonably foreseeable), but is instead conditional on a relationship of a particular, more demanding kind. The rest of the doctrine's development can be understood as courts working out exactly how wide or narrow that "special relationship" requirement should be.

Mark Allocation — Issue (a)

Tier	Descriptor	%
Full credit	Accurately states the facts, holding and reasoning of *Hedley Byrne v Heller*, AND frames the "special relationship" requirement as the scope-defining feature that the rest of the essay will interrogate.	15%
Good	Correct facts and holding without explicitly framing the scope question.	11%
Partial	General awareness of *Hedley Byrne* without precise statement of the test.	6%
Minimal	*Hedley Byrne* not engaged with, or materially misstated.	0–3%
Weight of this issue within Question 3		**15%**

Issue (b) · Widening the scope — who must rely, and on what basis

FULL MODEL ANSWER

A central question of scope is whether liability requires the specific claimant to have personally, directly relied on the statement, or whether it is enough that the claimant falls within a class of persons who might foreseeably rely on it. The Irish Supreme Court addressed this in *Wildgust v Bank of Ireland* [2006] 1 IR 570, holding that individualised, face-to-face reliance is not strictly necessary: it suffices that the statement was made to a sufficiently identifiable class of persons who might foreseeably rely upon it, and that the claimant falls within that class. This is a significant widening of the doctrine's practical scope, drawing on the general negligence framework in *Caparo Industries plc v Dickman* [1990] 2 AC 605 (foreseeability, proximity, and whether imposing a duty is fair, just and reasonable), itself reflected in Irish law through *Glencar Explorations plc v Mayo County Council* [2002] 1 IR 84. This "class-based" approach extends the doctrine's practical reach considerably beyond the narrow, direct-dealing scenario in *Hedley Byrne* itself, while still requiring genuine proximity through an identifiable class, so as to preserve some limit on liability.

Mark Allocation — Issue (b)

Tier	Descriptor	%
Full credit	Correctly explains the class-based reliance test from *Wildgust v Bank of Ireland*, AND situates it within the general *Caparo*/*Glencar* duty-of-care framework as an extension of scope beyond direct individual reliance.	25%
Good	Correctly cites *Wildgust* without the wider *Caparo*/*Glencar* framing.	18%
Partial	General assertion that Irish law is "broader" without correct supporting authority.	10%
Minimal	Issue not addressed.	0–5%
Weight of this issue within Question 3		**25%**

Issue (c) · Narrowing the scope — disclaimers and the boundary with contract

FULL MODEL ANSWER

Set against this widening trend are important boundaries that keep the doctrine's scope in check. As *Hedley Byrne* itself illustrates, a clear, properly communicated disclaimer of responsibility can prevent a duty from arising at all, since the doctrine is fundamentally grounded in a voluntary assumption of responsibility; where that assumption is expressly declined, its foundation is absent. Similarly, casual or purely social statements, made without any real assumption of responsibility or reasonable expectation of reliance, fall outside the doctrine's scope entirely, however careless and however damaging if relied upon. This gate-keeping function — not every careless remark is actionable, only those made within a genuinely proximate, responsibility-assuming relationship — is precisely what distinguishes negligent misstatement from a general tort of "careless talk," and is a deliberate limiting feature of the doctrine's scope, not an accidental gap in it.

Mark Allocation — Issue (c)

Tier	Descriptor	%
Full credit	Correctly explains the role of disclaimers and the casual-statement exclusion as deliberate scope-limiting features, connecting them back to the assumption-of-responsibility rationale.	20%
Good	Correctly identifies disclaimers/casual statements as limits without connecting them to the underlying rationale.	14%
Partial	Vague reference to "limits" on the doctrine.	8%
Minimal	Issue not addressed.	0–4%
Weight of this issue within Question 3		**20%**

Issue (d) · Irish reception and the current scope

FULL MODEL ANSWER

Irish law adopted the *Hedley Byrne* approach almost immediately, in *Securities Trust Ltd v Hugh Moore & Alexander Ltd* [1964] IR 417, where Davitt P accepted that a relationship of the kind described by the House of Lords could arise independently of contract, followed shortly by *Bank of Ireland v Smith* [1966] IR 646. Taken together with the *Wildgust* extension addressed in Issue (b), Irish law's current scope can be summarised as: a duty of care for a negligent statement arises wherever there is a genuine assumption of responsibility (express or inferred) towards an identifiable claimant or class of claimants, who foreseeably and reasonably rely on the statement, subject always to the possibility of an effective disclaimer displacing the duty. This is neither as narrow as the strict, individually-relied -upon-statement model that a literal reading of *Hedley Byrne* might suggest, nor as broad as a general duty for any careless statement causing foreseeable economic loss.

Mark Allocation — Issue (d)

Tier	Descriptor	%
Full credit	Correctly traces the immediate Irish adoption (*Securities Trust v Hugh Moore*, *Bank of Ireland v Smith*) AND synthesises the current scope of Irish law by combining it with the *Wildgust* extension.	20%
Good	Correctly identifies the Irish adoption without a clear synthesis of current scope.	14%
Partial	General assertion that Ireland "follows" *Hedley Byrne* without correct supporting Irish authority.	8%
Minimal	No Irish authority engaged with.	0–4%
Weight of this issue within Question 3		**20%**

Issue (e) · Critical evaluation and conclusion

FULL MODEL ANSWER

Evaluated critically, the current scope of negligent misstatement liability reflects a reasonably coherent balancing act. Its strength lies in targeting liability at genuinely deserving cases — professional advice, credit references, valuations — where reliance is real and reasonably expected, while the disclaimer mechanism preserves a workable boundary against indeterminate liability for the world at large. The *Wildgust* extension to identifiable classes, rather than only direct individual dealing, arguably brings the doctrine's practical scope closer into line with its underlying policy rationale (protecting reasonable, foreseeable reliance), without abandoning the proximity requirement that originally justified treating statements differently from physical acts.

A residual weakness is the scope's continued dependence on the somewhat elastic "assumption of responsibility" concept, which can be manipulated by disclaimers in ways that may not always track the underlying merits of a claim, particularly where the disclaiming party holds considerably superior bargaining power over an individual claimant. There is also a persistent, unresolved tension at the doctrine's outer edge between statements and negligent acts causing pure economic loss more generally (addressed further in the pure economic loss case-note in Question 4), where the law remains notably more restrictive. On balance, the scope of negligent misstatement can be assessed as a deliberately, and defensibly, bounded exception to the general reluctance to compensate pure economic loss — wide enough to capture genuine, foreseeable reliance, but narrow enough to avoid collapsing into a general duty for careless talk.

Mark Allocation — Issue (e)

Tier	Descriptor	%
Full credit	Offers a genuinely critical (not merely descriptive) evaluation of the doctrine's scope, weighing strengths and weaknesses, with a clear, reasoned overall conclusion.	20%
Good	Some critical engagement, but skewed towards one side without balance.	14%
Partial	Largely descriptive summary without independent critical evaluation.	8%
Minimal	No conclusion or critical engagement offered.	0–4%
Weight of this issue within Question 3		**20%**

QUESTION 3 — TOTAL **15 + 25 + 20 + 20 + 20 = 100%**

PART B · QUESTION 4

Comment or Case-Note on any TWO of the Following

QUESTION 4

Please write a comment or case-note on any TWO of the following:
(i) Examples of how terms are implied in contracts.
(ii) *Krell v Henry* [1903] 2 KB 740
(iii) *Donoghue v Stevenson* [1932] AC 562
(iv) The potential for recovery of remedies for pure economic loss.

APPROACH NOTE *Candidates select any TWO of the four items below, so each is independently worth 50% of Question 4's total mark. All four are provided in full here, self-contained.*

Q4(i) · Examples of How Terms Are Implied in Contracts — worth 50% if selected

FULL MODEL ANSWER

Not every term of a contract is expressly agreed; courts and legislation supply additional terms in several distinct ways, each with its own justification and test.

Terms implied in fact. These are terms implied into a *particular* contract on the basis that the specific parties must genuinely have intended them, even though they did not say so. Two overlapping tests are used: the **business efficacy test**, from *The Moorcock* (1889) 14 PD 64 (implying a term that a wharf owner would take reasonable care to ensure a berth was safe for a docking vessel, because some such term was necessary to give the contract practical, workable effect); and the **officious bystander test**, from *Shirlaw v Southern Foundries (1926) Ltd* [1939] 2 KB 206 (a term is implied if it is so obvious that the parties, asked about it while bargaining, would have testily replied "Oh, of course!"). Both tests require genuine necessity, not mere reasonableness.

Terms implied in law. These are terms attached, as a matter of policy, to an entire *category* of contract, regardless of the specific parties' intentions, because the relationship itself demands them. *Liverpool City Council v Irwin* [1977] AC 239 illustrates this: the House of Lords implied a term that a landlord of a multi-storey block must take reasonable care to maintain common areas such as stairwells and lifts, not because these particular parties must have intended it, but because the nature of a multi-occupancy tenancy necessarily requires such an obligation for the lease to function at all. Lord Wilberforce's "necessity" test for implication in law is broader and less fact-specific than the business efficacy test used for implication in fact.

Terms implied by statute. Legislation frequently implies standard terms into defined categories of contract as a matter of consumer or general protection — most familiarly, terms as to satisfactory quality, fitness for purpose, and correspondence with description implied into contracts for the sale of goods. These operate automatically once the statutory conditions are met, without any inquiry into what the particular parties intended or would have agreed.

Terms implied by custom or trade usage. Where a well-established, certain, and reasonable custom exists in a particular trade or locality, courts may imply a term reflecting that custom into a contract made within that trade, on the basis that the parties are taken to have contracted against the background of, and by reference to, that known custom, unless they have expressly excluded it.

Mark Allocation — Q4(i), if selected

Tier	Descriptor	%
Full credit	Correctly identifies and gives accurate case authority for at least three distinct categories of implied term (fact, law, statute, custom), clearly distinguishing the different tests/rationales for each.	50%
Good	Correctly covers two categories in depth with accurate authority.	36%
Partial	Only implied-in-fact terms addressed, without engaging the other categories.	20%
Minimal	Topic not meaningfully addressed, or categories confused with one another.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

Q4(ii) · *Krell v Henry* [1903] 2 KB 740 — worth 50% if selected

FULL MODEL ANSWER

Facts. The defendant, Henry, agreed to hire a flat overlooking Pall Mall from the claimant, Krell, for two specific days, 26 and 27 June 1902, on which the coronation procession of Edward VII was scheduled to pass. Although the written agreement did not expressly state the purpose of the hiring, it was well understood by both parties — the flat was advertised, and taken, specifically for its view of the procession. Before the agreed dates, the coronation was postponed due to the King's illness. Henry refused to pay the balance of the agreed rent; Krell sued to recover it.

Issue. Was the contract discharged by frustration, even though the flat itself remained entirely available and undamaged, and Henry could physically still have occupied it on the agreed dates?

> **HELD**
>
> **Yes — the contract was frustrated; Henry was not liable for the unpaid balance.**

Reasoning. The Court of Appeal held that frustration is not confined to cases where the specific subject matter of the contract is physically destroyed, as in *Taylor v Caldwell* (1863) 3 B & S 826. It can also apply where a state of affairs which both parties regarded as the foundation of the contract ceases to exist, even if performance remains technically possible. Parol evidence was admissible to establish that the entire, mutually understood purpose of hiring the flat was to view the procession — not simply to occupy a room in Pall Mall for two days — and once that purpose was destroyed by the postponement, the foundation of the bargain was gone. The court drew a deliberate contrast with the everyday case of hiring a cab to travel to the Epsom Derby: if the Derby were cancelled, the cab-hire contract would not be frustrated, because the cab has no special connection to the Derby and the hirer's purpose in hiring it, however specific to him personally, was not the shared foundation of the bargain in the way the coronation procession was for a room let specifically to view it.

Significance. *Krell v Henry* established the doctrine of **frustration of purpose**, extending frustration beyond physical impossibility to cases where the entire commercial object of a contract, understood and shared by both parties, is destroyed. Its scope was immediately narrowed by the contrasting decision in *Herne Bay Steamboat Co v Hutton* [1903] 2 KB 683 (decided within days, on similar coronation-related facts), which held that a charter for a boat "to view the naval review and for a day's cruise" was *not* frustrated when the review was cancelled, because the boat retained an alternative, still-achievable purpose (the cruise). Read together, the two cases establish that frustration of purpose applies only where the *entire*, singular foundation of the bargain is destroyed, not merely one of several purposes or attractions.

Mark Allocation — Q4(ii), if selected

Tier	Descriptor	%
Full credit	Accurately states facts, issue and holding; correctly explains the frustration-of-purpose reasoning AND its deliberate contrast with *Herne Bay Steamboat Co v Hutton* and the cab/Derby illustration.	50%
Good	Facts and holding correct with the core reasoning explained, but the contrasting case not developed.	36%
Partial	General awareness of the case (coronation, room hired) without accurate reasoning.	20%
Minimal	Case misidentified or not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

Q4(iii) · *Donoghue v Stevenson* [1932] AC 562 — worth 50% if selected

FULL MODEL ANSWER

Facts. Mrs Donoghue was bought a bottle of ginger beer by a friend at a café in Paisley, Scotland. The bottle was made of dark, opaque glass, so its contents could not be inspected. Some of the ginger beer was poured out and consumed; when the remainder was poured, the decomposed remains of a snail floated out. Mrs Donoghue alleged she suffered shock and subsequently gastroenteritis. Because she had not herself purchased the bottle, she had no contract with either the café owner or the manufacturer, David Stevenson, and so could not sue for breach of any contractual warranty of quality; she instead sued Stevenson directly in negligence.

Issue. Could a manufacturer owe a duty of care in negligence to the ultimate consumer of its product, with whom it had no contractual relationship at all?

> **HELD**
>
> **Yes — Stevenson owed Mrs Donoghue a duty of care, by a narrow majority of the House of Lords.**

Reasoning. Lord Atkin's leading speech rejected the argument that liability for a defective product should depend on the accident of who happened to be a party to the contract of sale. He formulated the now-famous **"neighbour principle"**: a person must take reasonable care to avoid acts or omissions which they can reasonably foresee would be likely to injure their "neighbour" — defined as persons "so closely and directly affected by my act that I ought reasonably to have them in contemplation" when directing my mind to the acts or omissions in question. On the specific facts, a manufacturer who puts products on the market in a form which prevents inspection by intermediate parties before they reach the ultimate consumer owes that consumer a duty to take reasonable care in the manufacturing process.

Significance. *Donoghue v Stevenson* is the foundational case of the modern law of negligence: it established negligence as a genuinely independent tort, capable of applying wherever the neighbour principle's conditions are met, rather than being confined to specific, previously recognised categories of relationship or requiring privity of contract. The neighbour principle later evolved, through cases such as *Caparo Industries plc v Dickman* [1990] 2 AC 605, into the modern three-stage test for the existence of a duty of care (foreseeability, proximity, and whether it is fair, just and reasonable to impose a duty), but Lord Atkin's original formulation remains the conceptual starting point for the entire modern law of negligence across common law jurisdictions, including Ireland.

Mark Allocation — Q4(iii), if selected

Tier	Descriptor	%
Full credit	Accurately states facts, issue and holding; correctly explains Lord Atkin's neighbour principle in his own terms; identifies the case's foundational significance for negligence as an independent tort, connecting it to its modern development via *Caparo*.	50%
Good	Facts and holding correct with the neighbour principle stated, but its modern significance/development not addressed.	36%
Partial	General awareness of the case (snail, ginger beer) without accurate statement of the neighbour principle.	20%
Minimal	Case misidentified or not meaningfully addressed.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

Q4(iv) · The Potential for Recovery of Remedies for Pure Economic Loss — worth 50% if selected

FULL MODEL ANSWER

The general exclusionary rule. "Pure" economic loss — financial loss not flowing from any physical injury to the claimant or damage to their property — is, as a general rule, not recoverable in the tort of negligence, in contrast to economic loss that is *consequential* on physical damage, which is recoverable in the ordinary way. The leading illustration is *Spartan Steel & Alloys Ltd v Martin & Co (Contractors) Ltd* [1973] QB 27, where the defendant's contractors negligently cut a power cable supplying the claimant's factory. The Court of Appeal allowed recovery for the physical damage to metal that was in the furnace at the time (and the lost profit on that specific damaged metal, as loss consequential on physical damage), but disallowed the further, larger claim for lost profits on production that would have occurred during the outage had the cable not been cut at all — that further loss was "pure" economic loss, unconnected to any physical damage to the claimant's own property, and was held irrecoverable on policy grounds (chiefly, the risk of opening liability to an indeterminate class of businesses similarly affected by the same cable cut).

The narrow exception for statements. As addressed in Question 3, *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465 carved out a distinct route to recovering pure economic loss caused by *negligent statements* made within a special relationship of assumed responsibility. This remains the clearest and most established route to recovering pure economic loss, but it is confined to statements/advice, not negligent acts generally.

Defective premises — a contested boundary. The English courts went on to close off recovery for pure economic loss arising from defective buildings. In *Murphy v Brentwood District Council* [1991] 1 AC 398, the House of Lords held that a local authority which had negligently approved defective foundation plans was not liable to a subsequent purchaser for the reduction in the property's value once the defect was discovered (but before it caused any actual injury or damage to other property) — this was pure economic loss (essentially, a bad bargain), not recoverable in negligence, overruling the more expansive earlier approach in *Anns v Merton London Borough Council* [1978] AC 728.

The Irish divergence — *Ward v McMaster*. Irish law has not followed *Murphy*'s restrictive approach in this specific context. In *Ward v McMaster* [1988] IR 337, the Irish Supreme Court held a local housing authority liable in negligence to a house purchaser for pure economic loss (the reduced value of, and losses associated with, a structurally defective house) arising from the authority's careless valuation, carried out pursuant to its statutory loan-approval functions under the Housing Act 1966. Henchy J grounded liability in the authority's assumption, through its statutory valuation role, of a responsibility towards loan applicants who would foreseeably and reasonably rely on the valuation being competently carried out. *Ward v McMaster* therefore represents a materially more expansive Irish approach to recovering pure economic loss in the defective-premises/statutory-authority context than English law has taken since *Murphy*, illustrating that "the potential for recovery" of pure economic loss is not a single, settled answer across common law jurisdictions, but continues to depend heavily on the specific factual context (statements versus acts, private versus statutory defendants) and on jurisdiction-specific policy choices.

Mark Allocation — Q4(iv), if selected

Tier	Descriptor	%
Full credit	Correctly states the general exclusionary rule with *Spartan Steel v Martin*, the *Hedley Byrne* statement exception, the restrictive English defective-premises position in *Murphy v Brentwood*, AND the contrasting, more expansive Irish position in *Ward v McMaster*.	50%
Good	Correctly covers the general rule and at least one of the two contrasting defective-premises authorities.	36%
Partial	General assertion that "pure economic loss is usually not recoverable" without correct supporting authority.	20%
Minimal	Topic not meaningfully addressed, or pure economic loss confused with consequential economic loss.	0–9%
Weight if this option is selected (one of two chosen)		**50%**

QUESTION 4 — TOTAL (any two selected)	50% + 50% = 100%